MEMEBULL

Investment Policy Statement

Private Unitized Strategy Access Platform

Effective Date: _____

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1. Introduction & Purpose

This Investment Policy Statement ("IPS") sets forth the principles, governance framework, execution standards, risk controls, and operational methodologies governing all investment activities conducted through the Memebull platform (the "Platform").

The IPS serves as a foundational governance document intended to:

- Establish a disciplined and transparent framework for strategy execution
- Define the rights, responsibilities, and limitations of participants
- Articulate the investment philosophy and risk posture of the Platform
- Provide clarity on portfolio construction, valuation, and reporting
- Align participant expectations with the realities of market risk

This IPS is designed to ensure that all participants have a **clear and comprehensive understanding of how capital is managed, how risk is controlled, and how outcomes—both positive and negative—are realised**.

2. Platform Structure & Legal Characterization

2.1 Nature of the Platform

Memebull operates as a **private investment access platform** that provides participants with exposure to discretionary trading strategies through a **unitized portfolio structure**.

The Platform:

- Is **not** a public offering
- Is **not** a collective investment scheme marketed to the general public
- Is **not** a pension, retirement, or savings plan
- Does **not** guarantee returns or capital preservation

Participation is limited to individuals or entities who acknowledge and accept the risks associated with market participation.

2.2 Relationship Between Platform and Participants

Participants engage with the Platform under a contractual relationship governed by:

- Membership Agreement
- Deposit Agreement
- Platform Terms & Conditions

This IPS is **supplementary** to those agreements and establishes governance principles rather than contractual entitlements.

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3. Participation Model & Unitization

3.1 Capital Contributions

Upon acceptance to the Platform, participants may contribute capital in accordance with the Platform's onboarding requirements.

Key principles:

- Contributions are made voluntarily
- Capital remains economically owned by the participant
- Contributions are pooled for execution purposes but unitized for ownership

3.2 Unit Allocation

Each participant's contribution is converted into **units** based on the prevailing Net Asset Value ("NAV") per unit at the time of contribution.

Units represent:

- Proportional economic exposure to portfolio performance
- A claim on portfolio value, not on specific assets or positions

3.3 Impact of Performance

- Portfolio gains increase the NAV per unit
- Portfolio losses decrease the NAV per unit
- Individual account values fluctuate based on unit ownership

There is **no smoothing of performance**, no redistribution of gains or losses, and no preferential treatment.

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4. Investment Objectives

The primary investment objectives of the Platform are:

1. **Capital Preservation**
   To prioritize the protection of participant capital through structured risk management.
2. **Risk-Adjusted Performance**
   To seek consistent, repeatable returns aligned with controlled risk exposure.
3. **Liquidity Awareness**
   To maintain operational flexibility and the ability to process withdrawals under normal market conditions.
4. **Transparency & Accountability**
   To provide participants with timely and accurate information regarding portfolio performance and valuation.

No explicit return targets, benchmarks, or guarantees are established.

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5. Investment Philosophy

The Platform's philosophy is grounded in the following beliefs:

- Markets are inherently uncertain and probabilistic
- Risk must be managed continuously, not reactively
- Discipline and structure outperform ad-hoc decision-making
- Execution quality and liquidity matter as much as strategy selection
- Transparency fosters long-term alignment and trust

Strategies are designed to adapt to changing market regimes while remaining within defined risk boundaries.

6. Strategy Execution Framework

6.1 Discretionary Management

All trading decisions are made on a **discretionary basis** by the designated portfolio manager(s).
Characteristics:

- Centralized execution across the unitized portfolio
- No participant-directed trading
- No individualized trade customization
- Decisions informed by macro, technical, and risk-based analysis

6.2 Instruments & Markets

Strategies may involve, but are not limited to:

- Digital assets and cryptocurrencies
- Foreign exchange instruments
- Commodities
- Derivatives and structured instruments where appropriate

The use of leverage or derivatives is governed by strict internal controls.

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7. Risk Management Framework

Risk management is a core pillar of the Platform and is embedded across strategy design, execution, and oversight. The objective of the risk framework is not the elimination of risk—an impossibility in financial markets—but the **identification, measurement, monitoring, and mitigation** of risk in a disciplined and consistent manner.

7.1 Risk Identification

The Platform recognizes and actively manages the following principal categories of risk:

7.1.1 Market Risk

Market risk refers to the potential for losses arising from adverse movements in market prices, rates, or valuations of traded instruments.

This includes:

- Directional price movements
- Trend reversals
- Macro-economic shocks
- Policy announcements and geopolitical events

Market risk is inherent in all trading activity and is managed through position sizing, diversification, and dynamic exposure adjustments.

7.1.2 Liquidity Risk

Liquidity risk is the risk that positions cannot be entered, adjusted, or exited at or near prevailing market prices without materially impacting price.

Liquidity risk may arise due to:

- Thin order books
- Market stress or dislocations
- Exchange outages or suspensions
- Extreme volatility events

The Platform seeks to mitigate liquidity risk by prioritizing instruments with sufficient depth and by limiting exposure to illiquid markets.

7.1.3 Volatility Risk

Volatility risk refers to the impact of rapid or unpredictable price fluctuations on portfolio value.

High volatility can:

- Magnify losses
- Trigger forced liquidations
- Increase margin requirements
- Reduce execution quality

Volatility is monitored continuously and may result in reduced exposure or temporary strategy adjustments during periods of abnormal market behavior.

7.1.4 Counterparty Risk

Counterparty risk is the risk of loss arising from the failure or insolvency of an exchange, broker, custodian, or service provider.

This includes:

- Exchange operational failures
- Custodial insolvency
- Settlement failures

- Technology or security breaches

The Platform mitigates counterparty risk by utilizing reputable, regulated, and well-capitalized service providers where available and by avoiding unnecessary concentration with a single counterparty.

7.1.5 Operational Risk

Operational risk refers to losses resulting from internal process failures, human error, system outages, or external events.

Examples include:

- Technology failures
- Data inaccuracies
- Execution errors
- Cybersecurity incidents

Operational risk is mitigated through documented procedures, redundancy measures, monitoring systems, and ongoing review of platform infrastructure.

7.2 Risk Controls

To manage identified risks, the Platform employs a structured set of controls designed to operate across all strategies and market conditions.

7.2.1 Maximum Position Size Limits

The Platform enforces limits on the size of individual positions relative to total portfolio NAV.

Purpose:

- Prevent excessive concentration
- Limit the impact of adverse price movements
- Reduce liquidation risk

Position size limits may vary by asset class, instrument type, and prevailing market conditions.

7.2.2 Asset Class Exposure Caps

Exposure caps are applied to major asset classes (e.g., digital assets, FX, commodities) to ensure diversification and reduce systemic risk.

These caps:

- Prevent over-reliance on a single market
- Reduce correlation risk
- Enhance portfolio resilience during market stress

Asset class caps may be adjusted in response to changing risk conditions.

7.2.3 Drawdown Thresholds

Drawdown thresholds define the maximum acceptable decline in portfolio value over a given period.

When thresholds are approached or breached:

- Risk exposure may be reduced
- Trading activity may be scaled back
- Capital preservation takes priority

Drawdown controls are designed to limit cumulative losses and preserve long-term viability.

7.2.4 Leverage Constraints

Where leverage is utilized, it is subject to predefined constraints.

Leverage controls aim to:

- Limit amplified losses
- Reduce margin call risk
- Prevent forced liquidation events

The Platform may reduce or eliminate leverage during periods of heightened volatility or reduced liquidity.

7.2.5 Liquidity Requirements

A portion of portfolio assets may be maintained in cash or cash-equivalent instruments to support operational flexibility.

Liquidity requirements ensure:

- Ability to meet withdrawal requests
- Capacity to manage margin requirements
- Resilience during market dislocations

Liquidity levels are reviewed continuously.

7.3 Risk Monitoring & Oversight

Risk metrics are monitored on an ongoing basis and may include:

- Portfolio volatility
- Maximum drawdown
- Exposure by asset class
- Concentration and correlation measures

The Platform reserves the right to modify exposure, suspend trading, or implement defensive measures in response to adverse conditions.

8. Valuation & NAV Calculation

8.1 Valuation Methodology

Portfolio assets are valued on a mark-to-market basis using:

- Exchange-provided pricing
- Market-recognized data sources

Valuation includes:

- Open positions
- Cash balances
- Realized and unrealized P&L
- Fees and expenses

8.2 Consistency & Fairness

NAV calculations are:

- Applied uniformly
- Conducted using consistent methodologies
- Free from discretionary adjustment

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9. Fees & Expenses

Fees may include:

- Management or access fees
- Performance-based fees
- Operational or administrative costs

All fees:

- Are disclosed separately
- Are applied consistently
- Are reflected in NAV

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10. Liquidity & Withdrawals

Withdrawals are processed through **unit redemption** at prevailing NAV.
Key considerations:

- Withdrawals reduce unit ownership
- Processing times depend on liquidity

- Exceptional market conditions may delay redemptions

The Platform reserves the right to impose temporary restrictions to protect remaining participants.

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11. Reporting & Transparency

Participants receive reporting that may include:

- Account value
- Units held
- Percentage ownership
- Performance summaries
- Manager commentary

Reporting frequency may vary.

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12. Governance & Oversight

Governance is maintained through:

- Defined investment mandates
- Internal review procedures
- Operational segregation of duties
- Documentation and audit-ready processes

The Platform may engage third-party service providers where appropriate.

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13. Conflicts of Interest

The Platform seeks to manage conflicts through:

- Uniform execution
- Transparent fee structures
- Internal controls

Any material conflicts are disclosed where required.

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14. Legal Disclaimers & Risk Acknowledgement

14. LEGAL DISCLAIMERS & RISK ACKNOWLEDGMENT

Participation involves significant risk, including loss of capital.
This IPS:

- Is not an offer or solicitation
- Does not guarantee performance
- Is informational and governance-focused

Participants acknowledge that past performance is not indicative of future results.

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15. Document Hierarchy

15. DOCUMENT HIERARCHY

This IPS should be read alongside:

- Membership Agreement
- Deposit Agreement
- Platform Terms & Conditions

In the event of inconsistency, contractual documents prevail.

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16. Amendments & Review

This IPS may be amended to reflect:

- Market developments
- Regulatory changes
- Operational enhancements

Material changes will be communicated.

END OF INVESTMENT POLICY STATEMENT

Glossary

NAV: Net Asset Value of the unitized portfolio.

Unit: A proportional economic interest in the Portfolio.

Participant: An individual or entity accepted as a Member of the Platform.

Portfolio Manager: The designated individual responsible for discretionary execution.

Unit Redemption: The process of converting units into withdrawal proceeds.

Appendix A – Risk Categories (Expanded)

Market Risk

Risk of loss arising from adverse price movements due to macroeconomic, geopolitical, or market-specific events.

Liquidity Risk

Risk that positions cannot be exited without materially impacting price or within required timeframes.

Volatility Risk

Risk arising from rapid or unpredictable price fluctuations that may amplify losses.

Counterparty Risk

Risk of loss due to failure or insolvency of exchanges, brokers, custodians, or service providers.

Operational Risk

Risk arising from internal process failures, technology issues, human error, or external events.

Appendix B – Unitized Portfolio Mechanics (Expanded)

Upon deposit, participant capital is converted into portfolio units based on the prevailing NAV. Portfolio gains and losses are reflected through unit price movement. Withdrawals are processed by redeeming units at the current NAV, reducing proportional ownership accordingly. This structure ensures equitable treatment of all participants and transparent performance attribution.